

Chapter 6: Managing Sequence Risk with Variable Spending Strategies

William Bengen's 1994 article introduced the concept of the 4 percent rule for retirement withdrawals. He defined the sustainable spending rate as the percentage of retirement date assets that can be withdrawn, with this amount adjusted for inflation in subsequent years, such that the retirement portfolio is not depleted for at least thirty years. Specifically, Bengen found that a 4 percent initial spending rate would have been sustainable in the worst-case scenario from US historical data over rolling thirty-year periods with a stock allocation of between 50 and 75 percent.

Bengen used a number of simplifying assumptions (understandably) in an attempt to illustrate the importance of the sequence of investment returns to retirement spending outcomes. Among these is the previously mentioned constant inflation-adjusted spending assumption. It was a simplification to obtain a general guideline about feasible retirement spending.

While this assumption may reflect the *preferences* of many retirees to smooth their spending as much as possible, real-world individuals inevitably vary their spending over time in response to their portfolio's performance. Retirees will not play the implied game of chicken by keeping their real spending constant as their portfolios plummet toward zero. It is an unrealistic assumption.

Being flexible with spending matters a great deal. Constant spending from a volatile portfolio is a unique source of sequence-of-returns risk that can be partially alleviated by reducing spending when the portfolio drops in value. With flexibility, the initial withdrawal rate can increase by more than one might think on account of the synergies created through decreasing sequence risk. In this regard, estimates obtained with a constant inflation-adjusted spending assumption may be overly conservative for those willing and able to adjust their spending over time.

In the previous chapter, we altered the inflation-adjusted spending assumption by considering other preplanned retirement spending patterns such as David Blanchett's retirement spending smile. The focus in this